

Financial Crime & Abuse Operations

Fictional Standard Operating Procedures

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This document contains entirely fictional procedures, thresholds, roles, case examples, and control logic created for software testing, demonstrations, training prototypes, and document-retrieval testing. It is not legal advice, regulatory guidance, or an approved compliance program. Any real institution must replace these controls with requirements validated by its legal, compliance, risk, privacy, and regulatory teams.

SOP Index

ID	Procedure	Primary Objective
SOP-001	Cash Advancing / Cash-Like Transaction Abuse	Detect and investigate activity that may disguise cash advances as ordinary commerce.
SOP-002	P2P Abuse - Personal-to-Personal Transactions	Identify misuse of person-to-person transfers for scams, commercial activity, mule behavior, or circular movement.
SOP-003	Money Laundering Transaction Monitoring	Review transaction patterns for placement, layering, integration, structuring, and unexplained flows.
SOP-004	Account Takeover & Unauthorized Payment Abuse	Investigate signals suggesting compromised credentials or unauthorized account access.
SOP-005	Merchant Collusion & Transaction Laundering	Assess merchants that may process transactions for undisclosed businesses or coordinate with counterparties.

SOP-001 - Cash Advancing / Cash-Like Transaction Abuse

Classification: Fictional / Test Procedure **Owner:** Financial Crime Operations **Review cycle:** Annual (fictional)

1. Purpose

Provide a consistent review method for identifying transactions that appear to convert a payment product or credit line into cash or cash-equivalent value while being represented as ordinary purchases.

2. Scope

Applies to fictional consumer, merchant, and P2P payment activity reviewed by Northstar Payments Labs. It covers alerts generated from transaction patterns, merchant behavior, funding-source usage, refunds, and related-account signals.

3. Key Definitions

- Cash advancing: obtaining cash or cash-equivalent value through a transaction represented as a purchase.
- Cash-like value: funds, stored value, transferable balance, or other rapidly liquid value.
- Collusive transaction: activity in which payer and recipient coordinate to create a misleading transaction purpose.

4. Case Creation / Review Triggers

- Repeated payments to one merchant followed by rapid withdrawals or transfers.
- High share of credit-funded payments to recipients with limited genuine purchase indicators.
- Round-dollar transactions with repetitive amounts and little product/service variation.
- Payments followed by full or near-full refunds to a different funding destination.
- Strong links between payer and merchant/recipient, including shared device, address, contact data, or ownership.

5. Investigation Workflow

1. Confirm alert data, customer/merchant identifiers, transaction dates, amounts, funding sources, and recipient details.
2. Review the previous 90 days of activity for frequency, velocity, round amounts, refund behavior, and rapid movement of funds.
3. Assess whether the merchant's stated business model reasonably explains the payment pattern and average ticket size.
4. Review related accounts and shared attributes for evidence of self-payment or coordinated activity.
5. Check available customer communications, invoices, order descriptions, or other business evidence where appropriate.
6. Document both suspicious and mitigating evidence; do not conclude abuse solely from one indicator.
7. Assign an outcome using the decision framework and record a concise rationale.

6. Decision Framework

- No issue: activity is reasonably supported by the customer's or merchant's expected use.
- Monitor: unusual behavior exists but evidence is insufficient; retain the case for enhanced observation under fictional policy.

- Abuse confirmed: multiple independent indicators support deliberate cash-advance circumvention or collusion.
- Escalate: material value, repeat behavior, linked-account network, or possible financial-crime concerns require senior review.

7. Minimum Evidence to Record

- Alert reason and transaction sample.
- Funding source and settlement destination.
- Merchant/business explanation and supporting evidence reviewed.
- Related-account findings.
- Investigator rationale, outcome, and any limitations in available data.

8. Escalation & Actions

- Restrict or limit relevant functionality only when authorized by the fictional control matrix.
- Refer potential money-laundering indicators to the AML review queue rather than treating cash advancing as an AML conclusion.
- Escalate repeat or high-impact patterns to a senior investigator.
- Preserve relevant case records according to the fictional retention standard.

9. Quality Controls

- A second reviewer checks confirmed-abuse decisions above the fictional materiality threshold.
- Case notes must distinguish observed facts from investigator inference.
- A single round-dollar transaction is not sufficient evidence of abuse.

10. Fictional Case Example

Customer A makes twelve credit-funded payments of similar round amounts to Merchant Z over ten days. Merchant Z has minimal ordinary retail activity, and most received funds are transferred out within hours. The payer and merchant also share a contact address. The investigator documents the linked attributes and flow-of-funds pattern, rules out a supported business explanation, and escalates the case as suspected cash-advance circumvention.

SOP-002 - P2P Abuse - Personal-to-Personal Transaction Abuse

Classification: Fictional / Test Procedure **Owner:** Financial Crime Operations **Review cycle:** Annual (fictional)

1. Purpose

Standardize investigation of person-to-person transfers that may be used for scams, prohibited commercial use, mule activity, manufactured transactions, or coordinated abuse.

2. Scope

Applies to fictional P2P senders and recipients, including inbound and outbound transfers, linked funding instruments, complaints, reversals, and related-account activity.

3. Key Definitions

- P2P transfer: a payment represented as a transfer between individuals.
- Mule behavior: receiving and moving funds on behalf of another party without a credible personal purpose.
- Circular flow: funds moving among related accounts and returning to an originating or linked party.

4. Case Creation / Review Triggers

- Sudden increase in P2P volume inconsistent with historical activity.
- Many unrelated senders paying one recipient, followed by rapid cash-out.
- Repeated disputes or scam complaints naming the same recipient.
- Circular transfers among linked accounts.
- New account receiving high-velocity transfers and quickly moving funds onward.
- P2P memo text or external evidence suggesting undisclosed commercial sales.

5. Investigation Workflow

8. Validate the alert and map the sender, recipient, funding source, and destination of funds.
9. Review account age, historical baseline, transaction velocity, counterparties, reversals, and complaints.
10. Identify whether counterparties appear genuinely independent or share devices, contact details, addresses, or financial instruments.
11. Assess flow of funds: retention, withdrawal, onward transfer, circular movement, or concentration into another account.
12. Review available complaint narratives or customer explanations for consistency.
13. Separate scam-victim behavior from scam-recipient or mule behavior; victims should not be classified as perpetrators solely because they sent funds.
14. Record the outcome and route any AML-relevant behavior for separate AML assessment.

6. Decision Framework

- Legitimate P2P use: activity is consistent with personal transfers and supported by context.
- Policy misuse: activity appears commercial or otherwise outside intended P2P use without stronger fraud/AML evidence.
- Fraud/scam abuse: evidence links the account to deceptive receipt or movement of funds.

- Potential mule/AML concern: unexplained third-party funds and rapid onward movement require AML escalation.

7. Minimum Evidence to Record

- Counterparty count and concentration.
- Transaction timeline and flow-of-funds summary.
- Complaint/dispute history.
- Related-account evidence.
- Customer explanation, if obtained.
- Reason for distinguishing victim, recipient, mule, or ordinary user.

8. Escalation & Actions

- Escalate credible scam networks or mule patterns to the appropriate fraud/AML team.
- Apply account controls only under the fictional authorization matrix.
- Where evidence is mixed, use monitoring or senior review rather than over-classification.

9. Quality Controls

- Investigators must review at least one mitigating explanation for each confirmed case.
- Quality sampling checks whether victim accounts were incorrectly classified.
- Network/linkage conclusions must identify the specific shared attribute.

10. Fictional Case Example

Recipient B, a recently opened account, receives transfers from 28 unrelated senders over four days. Most funds are transferred to two additional accounts within thirty minutes. Three senders report that they paid for nonexistent event tickets. The investigator records complaint evidence and rapid pass-through behavior, identifies the recipient as a suspected scam collection account, and sends the linked flow to AML for mule assessment.

SOP-003 - Money Laundering Transaction Monitoring

Classification: Fictional / Test Procedure **Owner:** Financial Crime Operations **Review cycle:** Annual (fictional)

1. Purpose

Define a fictional risk-based process for reviewing alerts that may indicate laundering of illicit proceeds through transaction structuring, rapid movement, layering, unexplained third-party activity, or integration into apparently legitimate commerce.

2. Scope

Applies to transaction-monitoring alerts for fictional customers and merchants. This test SOP does not define legal reporting obligations; real suspicious-activity reporting decisions must follow applicable law and approved institutional policy.

3. Key Definitions

- Placement: introducing potentially illicit funds into the financial system.
- Layering: creating transaction complexity to obscure origin, ownership, or destination.
- Integration: reintroducing funds as apparently legitimate assets or revenue.
- Structuring: intentionally breaking activity into smaller transactions to avoid a control or reporting threshold.

4. Case Creation / Review Triggers

- Multiple transactions clustered below an internal fictional review threshold.
- Rapid in-and-out movement with little balance retention or economic purpose.
- Unexplained third-party payments inconsistent with profile or stated business.
- Funds moving through several linked accounts before withdrawal or external transfer.
- Significant change in geography, counterparties, volume, or transaction type.
- Activity involving higher-risk jurisdictions or counterparties combined with other suspicious indicators.

5. Investigation Workflow

15. Review customer profile, expected activity, tenure, occupation/business model, and prior alerts.
16. Build a chronological transaction view covering the relevant alert period and sufficient historical context.
17. Analyze source and destination of funds, counterparties, velocity, transaction sizes, geography, and linked accounts.
18. Compare observed activity with the expected customer/business profile and identify material inconsistencies.
19. Review available KYC, due-diligence records, prior case outcomes, and credible supporting documents.
20. Consider plausible legitimate explanations and record what evidence supports or weakens them.
21. If suspicion remains, escalate to the designated AML decision-maker; the investigator does not make legal-reporting decisions unless specifically authorized.
22. Document the narrative so another reviewer can reproduce the reasoning from the evidence.

6. Decision Framework

- Close - explained: alert behavior is reasonably supported and no material unexplained indicators remain.
- Close - insufficient concern: unusual activity exists, but available facts do not support escalation.
- Enhanced review: more information or senior analysis is required.
- AML escalation: the combination of indicators creates a reasonable basis for formal AML review under the fictional program.

7. Minimum Evidence to Record

- Customer profile and expected activity.
- Alert parameters and transaction chronology.
- Source/destination and key counterparties.
- Relevant KYC/due-diligence information.
- Adverse or mitigating evidence.
- Clear explanation of why activity is or is not inconsistent with expected use.

8. Escalation & Actions

- Escalate to the AML decision team when suspicion cannot be reasonably resolved.
- Do not contact a customer in a manner that reveals confidential AML review or reporting activity.
- Any regulatory filing, account exit, freeze, or law-enforcement response is handled only by authorized functions under applicable law and approved policy.

9. Quality Controls

- Confirmed escalations require independent review.
- Narratives must avoid unsupported labels such as 'launderer'; describe observable behavior and rationale.
- Thresholds in this fictional SOP are illustrative and must not be copied into a real program without validation.

10. Fictional Case Example

Business C normally receives modest domestic customer payments. Over two weeks it receives numerous third-party transfers inconsistent with its stated business, then moves most funds through two linked accounts before external withdrawal. Supporting invoices do not match several payments. The investigator maps the transaction chain, documents inconsistencies and possible legitimate explanations, and escalates the activity for formal AML review without making a legal filing determination.

SOP-004 - Account Takeover & Unauthorized Payment Abuse

Classification: Fictional / Test Procedure **Owner:** Financial Crime Operations **Review cycle:** Annual (fictional)

1. Purpose

Provide a consistent process for reviewing potential compromise of a customer's account, credentials, device, or payment instruments.

2. Scope

Applies to fictional login, device, payment, profile-change, and complaint signals associated with unauthorized access or transactions.

3. Key Definitions

- Account takeover (ATO): unauthorized control of an existing account.
- Trusted device: a device previously associated with established legitimate customer activity.
- Profile takeover: unauthorized changes to contact, authentication, or payout information.

4. Case Creation / Review Triggers

- New device or location followed by sensitive profile changes and payments.
- Password reset followed by rapid transfer or withdrawal.
- Customer complaint of unauthorized access or payment.
- Addition of a new funding or payout instrument immediately before high-value activity.
- Multiple failed authentication attempts followed by a successful login and unusual transaction.

5. Investigation Workflow

23. Establish the customer's normal login, device, and transaction baseline.
24. Build a timeline of authentication events, profile changes, instrument additions, and payments.
25. Compare devices, network/location indicators, contact changes, and transaction behavior with historical activity.
26. Review customer reports and prior compromise indicators.
27. Identify which transactions are plausibly unauthorized and which predate the compromise.
28. Apply the decision framework and document evidence supporting the compromise window.

6. Decision Framework

- No ATO: activity is consistent with the customer's established behavior.
- Possible compromise: indicators exist but require additional verification.
- ATO confirmed: multiple signals support unauthorized access and subsequent activity.
- Related fraud: compromised account appears to be used to receive or move other victims' funds.

7. Minimum Evidence to Record

- Authentication timeline.
- Device/profile changes.
- Transaction list inside the suspected compromise window.
- Customer complaint or verification evidence.
- Related accounts and payout destinations.

8. Escalation & Actions

- Route customer-protection actions to the authorized fraud function.
- Escalate linked mule or laundering behavior separately to AML.
- Preserve logs and case evidence according to the fictional retention standard.

9. Quality Controls

- Do not assume travel or a new device is compromise by itself.
- QA checks that the compromise start/end window is supported by evidence.
- Customer-impacting controls require documented authorization.

10. Fictional Case Example

Customer D historically uses one device and domestic login region. A password reset is followed by a new device, change of phone number, addition of a payout account, and several transfers within forty minutes. The customer later reports loss of account access. The investigator defines the compromise window, identifies affected payments, and routes the case for authorized fraud remediation.

SOP-005 - Merchant Collusion & Transaction Laundering

Classification: Fictional / Test Procedure **Owner:** Financial Crime Operations **Review cycle:** Annual (fictional)

1. Purpose

Detect merchants that may knowingly process payments for another business, disguise the true nature of sales, or coordinate with payers/other merchants to evade controls.

2. Scope

Applies to fictional merchant accounts, associated owners, websites, transaction descriptors, counterparties, refunds, disputes, and linked accounts.

3. Key Definitions

- Transaction laundering: processing payments for undisclosed goods, services, or another business through an approved merchant account.
- Merchant collusion: coordinated activity between merchants or payers designed to misrepresent transaction purpose or ownership.
- Undisclosed business: a business or website materially different from the activity presented during onboarding.

4. Case Creation / Review Triggers

- Transaction mix inconsistent with the merchant's declared products or average ticket.
- Multiple unrelated websites or descriptors routing into one merchant account.
- High concentration of payments from linked or repeat payers without normal retail behavior.
- Complaint narratives describing goods/services not offered by the approved merchant.
- Shared ownership, devices, bank accounts, or contact details across merchants with unusual cross-payments.

5. Investigation Workflow

29. Review the merchant's approved business model, website/domain evidence, ownership, expected volume, and historical activity.
30. Sample transactions and compare amounts, descriptors, customer complaints, and refund patterns with stated products/services.
31. Review linked domains, accounts, owners, devices, and settlement instruments available within approved systems.
32. Assess whether another business appears to be using the merchant's processing capability.
33. Evaluate potential collusion, self-payment, or artificial transaction creation.
34. Document direct evidence separately from inference and record any limitations.
35. Escalate material or repeated misrepresentation for senior risk and, where appropriate, AML review.

6. Decision Framework

- Supported merchant activity: transactions align with approved business.
- Business-model mismatch: material activity is outside the declared model but deliberate laundering is not established.

- Transaction laundering/collusion suspected: multiple indicators support concealed processing or coordinated misrepresentation.
- AML escalation: transaction flows also create independent laundering concerns.

7. Minimum Evidence to Record

- Approved business description and website evidence.
- Transaction sample and complaint themes.
- Linked merchant/account attributes.
- Settlement/refund behavior.
- Investigator conclusion and confidence.

8. Escalation & Actions

- Route merchant-policy actions to the authorized merchant-risk function.
- Escalate suspected criminal-finance indicators to AML rather than treating policy breach alone as money laundering.
- Use senior review for high-impact merchant decisions.

9. Quality Controls

- Website evidence should include review date and what was observed.
- At least two independent indicators are preferred before confirming deliberate collusion.
- QA checks that business-model mismatch is not automatically labeled transaction laundering.

10. Fictional Case Example

Merchant E is approved as a small home-goods seller, but sampled complaints describe digital investment services. Several payment descriptors reference a second brand, and both brands share ownership and settlement details. The investigator records the mismatch and linkage, finds no credible home-goods explanation for the sampled payments, and escalates suspected transaction laundering for senior merchant-risk review.

Appendix A - Standard Case Note Template

Use this fictional template to test case-note generation or retrieval systems.

Case ID: [TEST VALUE]

Alert / trigger: [TEST VALUE]

Customer or merchant profile: [TEST VALUE]

Period reviewed: [TEST VALUE]

Key transactions: [TEST VALUE]

Key risk indicators: [TEST VALUE]

Mitigating evidence: [TEST VALUE]

Related accounts / counterparties: [TEST VALUE]

Investigator assessment: [TEST VALUE]

Outcome: [TEST VALUE]

Escalation / action: [TEST VALUE]

Reviewer: [TEST VALUE]

Appendix B - Outcome Taxonomy

- CLOSED_EXPLAINED - activity is supported by available evidence.
- CLOSED_INSUFFICIENT_CONCERN - unusual activity remains but does not meet the fictional escalation standard.
- MONITOR - additional observation is appropriate under the test control design.
- FRAUD_ESCALATION - evidence supports fraud/abuse specialist review.
- AML_ESCALATION - evidence supports formal AML review.
- SENIOR_REVIEW - impact, uncertainty, or policy requires a higher approval level.